Khatris of Punjab. The indigenous bankers were of three variants: those whose entire business was banking; those whose principal business was trading but who employed surplus funds in banking; and those who divided their funds equally between banking and trading.

The bankers had, however, created at least one important type of financial instrument, the *hundi*, which is similar to a bill of exchange and was used as a means of short-term financing as well as for the inter-local transfer of funds. 'The *hundi* handed down for centuries from an unrecorded past must ever remain a singular monument to the financial acumen and ingenuity of these bankers'[1]. The *hundi*, still used today, is an unconditional order in writing by one person on another for payment on demand or after the specified time of a certain sum of money, to a person named therein. It has no legal status but unlike the bill of exchange, it can be used for raising or remitting funds without reference to any particular trade transaction.

Hundis are of two types: demand, *darshani;* and usance, *muddati*. The former is payable on demand while the latter is payable after expiry of the stipulated period. The *hundis* are also *dhanijog* or *sahjog*. In cashing the latter, a banker has to ensure that the presenter is the proper person entitled to payment, but he is free from this responsibility in cashing the former. Two other types of *hundis are farmanjog* which are payable on demand and *jokhami* which are drawn against goods dispatched and contain certain conditions in accordance with which if goods are lost or destroyed in transit, the drawer or holder of the *hundi* has to suffer the loss. Payment of such *hundis* is made on safe receipt of the goods and their purchaser acts as a sort of insurance agent.

The *hundi* system worked well and dishonouring a *hundi* was a rare event with a social stigma attached to it. Bankruptcy was a public event marked by lighting a lamp for all to see. The system worked on mutual trust and confidence. It is said that the Jain brothers drew a *hundi* for ₹10 crores on the Nagar Seth, the 'City Banker' of Ahmedabad for building the Dilwara temples on Mount Abu. Ruling princes also paid loans or tributes by means of *hundis* on their bankers. In 1666, Shivaji borrowed ₹66,000 from Kumar Ram Singh, son of Raja Sawai Jaisingh I of Jaipur, and gave a *hundi* on his officers in the Deccan to pay the Raja.